NOW PUSH THE PEDAL HARD



Budget 2025 sets the direction on crucial aspects of the economy. But now it needs to speed up implementation, further ease regulatory clamps and introduce tax, farm and labour reform to get India truly going

By TEAM INDIA TODAY | *Digital Imaging by* **NILANJAN DAS / AI**

NO **one missed the piece de resistance of Budget 2025**—the tax concession to the country's middle class, easing some of the burden of income tax. It marked a directional shift in the Modi government's strategy from one on overreliance on capital expenditure to stimulate growth to backing it with a massive consumption boost. The budget also signalled the government's intentions to pump up the flagging manufacturing sector that accounted for only 17 per cent of India's Gross Domestic Product (GDP), far short of the 25 per cent by 2025 target fixed five years ago.

The announcement of a National Manufacturing Mission in Budget 2025 was welcome, especially its focus on lifting the Micro, Small and Medium Enterprises (MSMEs) out of the low-growth rut they had fallen into. So too was the government's intention to reduce the regulatory cholesterol that has choked entrepreneurship, for which it has proposed forming a high-level committee to review the maze of rules, certifications, licences and permissions in the non-financial sector that cause enormous delays in setting up enterprises, not to mention the escalating cost and corruption. For higher growth, there is a need to push through these as well as a clutch of other reforms.

Many of these imperatives are staring the government in the face. While it provided